HEIRSTONE CONSULTING

SURPLUS STATE PROPERTY

The second price

Releasing surplus state land and buildings without giving the value away: evidence from 23 named releases and five national estates, and the routes now in use in Egypt, Saudi Arabia, the UAE and Morocco



THE REPORT IN SIX NUMBERS

0.18%

of estate value realised from sales in a year by both the UK central estate (2024-25) and the Dutch State property agency (2023), on different valuation bases. Heirstone analysis

5 days

of UK estate running costs covered by a full year of disposal proceeds: £367m against £26.6bn (2024-25)

5.5x

the price per home the UK Ministry of Defence paid in 2024 to buy back family homes it sold and leased back in 1996

18

tenders for Hong Kong's Murray Building, offered on a 50-year grant that allowed hotel use only and barred demolition (2013)

MAD 55bn

mobilised by Morocco through innovative financing from 2019 to mid-2024, according to Boursenews, much of it by selling public buildings and leasing them back

40,000

government employees moved to Egypt's New Administrative Capital by July 2023, leaving central Cairo ministry buildings for release through the Sovereign Fund

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ABOUT THIS REPORT

Heirstone Consulting advises governments, sovereign and institutional investors and master developers across the Middle East and Africa on land, real estate and destination strategy. This report draws on public sources current in 2026: audit office reports, government estate statistics, statutes and decrees, the accounts of public property companies and funds, official announcements and the press.

Where we combine published figures to produce a new one, such as a realisation ratio, a rent-to-price ratio or a cost per hotel room, the calculation and its inputs are shown and labelled Heirstone analysis. Prices are nominal, in the currency of the transaction.

WHAT WE FOUND

A sale price records one day. What the state pays in the years after a release decides whether the value was kept.

We call that later cost the second price: rent on space the state sold but still needs, the running cost of buildings left empty, years without use while a site waits for a partner or a permission, and gains handed to the next owner. In the 23 releases we traced, the largest losses came from these later costs, and each of them can be estimated before the route is chosen.

1 **Most state estates barely turn over.**

The UK and Dutch central estates each realised about 0.18% of their value from sales in a year. In 2024-25 the UK raised £367m from 320 disposals while spending £26.6bn to run an estate with a freehold value of £208.4bn. A year of proceeds paid for about five days of running costs.

2 **The heaviest losses followed sales of space the state kept using.**

The Ministry of Defence sold about 55,000 homes for £1.66bn in 1996, was paying £230m a year to rent them back by 2024, and then repurchased 36,347 of them for £5.99bn: 5.5 times the 1996 price per home. In 2016-17 it was still paying £178m a year in rent on 39,000 homes, 19% of them empty.

3 **Time to reopening is a discount that rarely appears in the accounts.**

In our register of 23 releases, buildings reopened three to six years after release where both dates are published. Only 6 of the 23 have reopened on a date we could verify, and Admiralty Arch, vacated in 2011, was still scheduled to open in 2026.

4 **Conditions written into the title held value.**

Hong Kong's Murray Building drew 18 tenders and HK$4.4bn for a 50-year grant limited to hotel use, with demolition barred. Below-market sales for social housing cost France and Germany about €22,000 to €24,000 in forgone receipts per social home.

5 **The vehicles that captured land value were built to wait.**

Hamburg paid for about half of HafenCity's €3bn of public works from land sales. Copenhagen's By & Havn expects to repay its debt towards 2070. Hong Kong's land premium fell from HK$143bn to HK$13.5bn in three years, while Singapore credits land sale proceeds to its reserves.

6 **The region uses five routes at once.**

Egypt vests ministry buildings in its sovereign fund, and sold the rights to Ras El Hekma for US$24bn while keeping a 35% stake. Morocco sells public buildings to institutional funds and leases them back. Saudi Arabia reallocates inside government first. Dubai has floated part of a state-owned REIT.

WHAT IT MEANS

Land agencies should publish a valued register and report holding cost next to receipts every year.

Sovereign funds and master developers should write use, conservation and a revenue share into the grant, then tender it openly.

Investors and lenders should underwrite the occupier's exit date and the planning path as closely as the price.

23

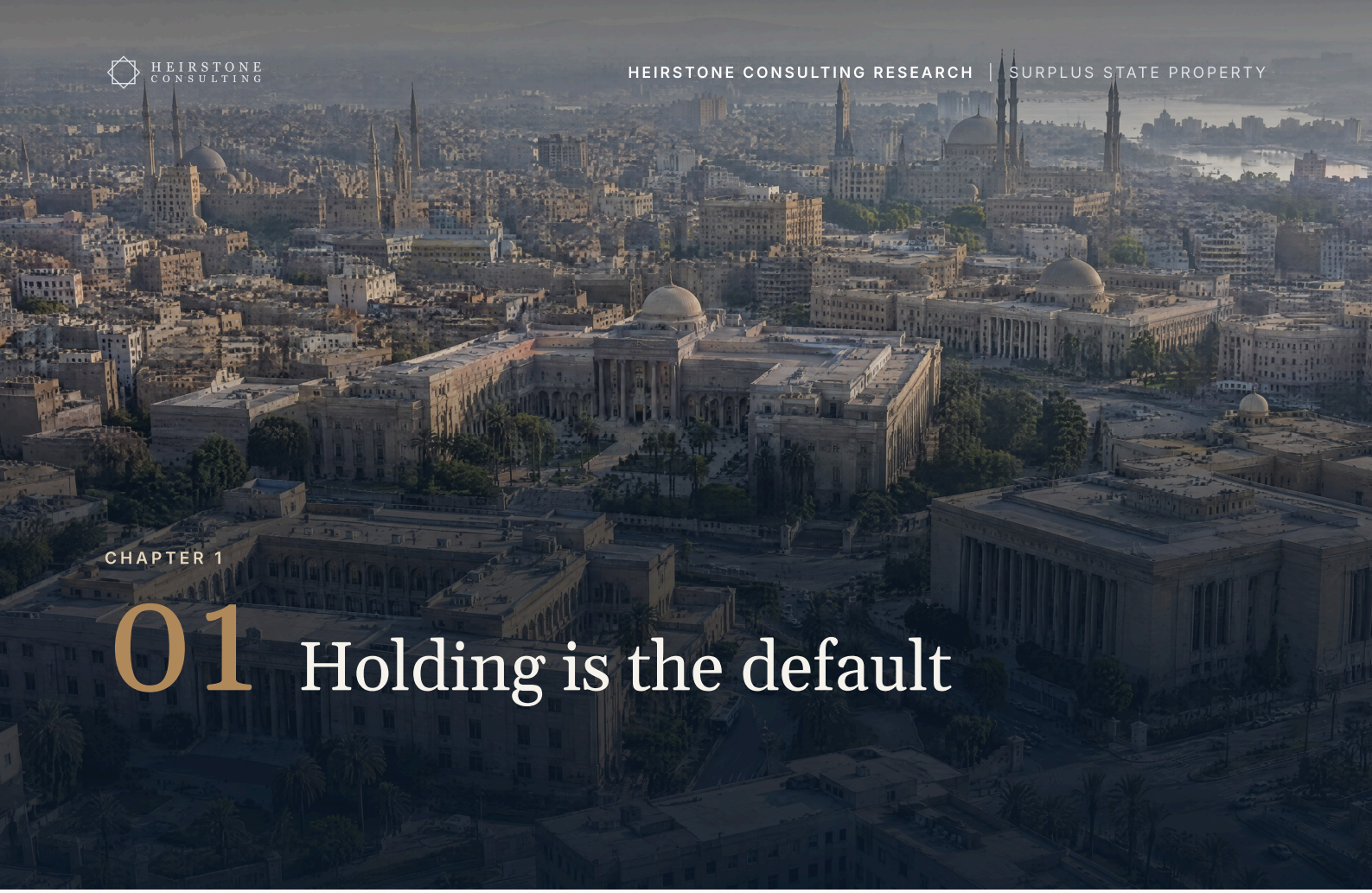
named releases in the Heirstone Release Register, from Whitehall to Tahrir Square

5

lines of the second price in the Heirstone Second Price Test: rent-back, holding, delivery, upside and proceeds

14-16

years for rent to repay the sale price on a leaseback at 6.3 to 7% of price, the range of returns reported on Moroccan State leasebacks. Heirstone analysis



CHAPTER 1

01 Holding is the default

Governments rarely know what their land is worth, and the few that do sell very little of it.

US$101tn

public sector assets in the IMF's 31-country sample, 219% of GDP; land was left out of the cross-country charts

39x

Boston's indicative real estate value (US$55bn) over the figure in its accounts (US$1.4bn). Heirstone analysis

The IMF's 2018 study of public sector balance sheets covered 31 countries and 61% of the world economy. It put public assets at US$101 trillion, or 219% of GDP, and left land out of its cross-country comparisons to keep the figures comparable. At city level the gap between book and market can be wide. An independent indicative valuation cited by Detter and Fölster put Boston's municipal real estate at about US$55bn, against roughly US$1.4bn in the city's accounts.

The United Kingdom shows what a full register looks like. At 31 March 2025 its central estate held 203,400 assets on 640,400 hectares, with 159.1 million m2 of floor space and a freehold value of £208.4bn. It cost £26.6bn to run that year. Disposals raised £367.3m from 320 sales.

For most governments, holding is what happens by default. A building is released late, after a ministry has moved or a function has closed, and often only once a disposal target or a budget gap forces the question. By then the costs of keeping it, and of the years it stands unused, have been running for some time.

Even the best-documented estate is still building its records. The UK introduced a Government Property Data Standard in February 2023 and is assembling InSite, a digital asset register the Cabinet Office calls a modern-day Domesday Book. Its plan for Whitehall is to house 40,000 civil servants in 17 to 20 buildings by 2030.

This chapter measures that default. The next two show where the largest losses arose once governments did decide to sell.

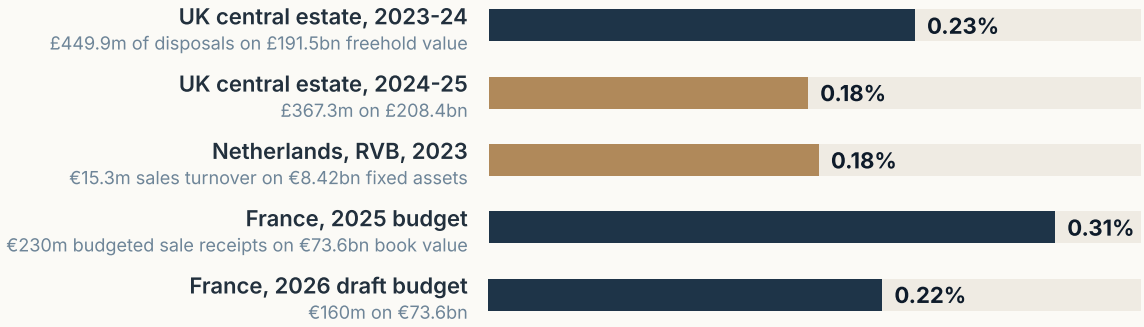
THE REALISATION RATIO

Two of Europe's best-documented estates turn over less than a fifth of one per cent of their value a year

EXHIBIT 1

Disposal receipts equal about 0.2 to 0.3% of estate value a year

Heirstone Realisation Ratio: annual disposal receipts as a share of estate value, %



Source: Cabinet Office, State of the Estate 2023-24 and Government Estate Annual Data Publication 2024-25; Rijksvastgoedbedrijf, Financieel jaarverslag 2023; Sénat (2026) and Fondation iFRAP (2026) quoting the Cour des comptes. **Heirstone analysis.** Values are freehold valuation (UK), fixed assets (NL) and book value (France). Dutch sales turnover may exclude proceeds paid directly to the Treasury. French receipts are budgeted, not outturn.

We call the ratio of annual disposal receipts to estate value the realisation ratio. It is a crude measure, because values are struck on different bases, but it shows the order of magnitude. In 2024-25 the UK realised 0.18% of the freehold value of its central estate. The Netherlands' State property agency, the Rijksvastgoedbedrijf, recorded €15.3m of sales turnover in 2023 against €8.42bn of fixed assets: also 0.18%. France's budgeted receipts equal 0.22 to 0.31% of the €73.6bn book value of its estate.

France also shows the direction of travel. The number of State assets sold fell from 1,044 in 2014 to 549 in 2023, and three quarters of the 1,636 properties declared surplus and handed to the Domaine by the end of 2022 were rated difficult, very difficult or improbable to sell, according to the Sénat. Budgeted sale receipts fall from €230m in 2025 to €160m in the 2026 draft budget, below the €321.5m of spending charged to the same account. A law adopted in July 2026 creates a State property company from January 2027, according to Fondation iFRAP.

0.16%

of UK assets sold in 2024-25 by count: 320 disposals out of 203,400 holdings. Heirstone analysis

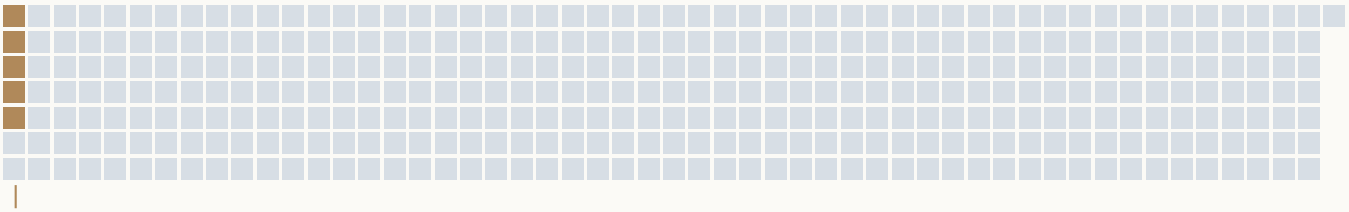
-47%

fall in French State assets sold, from 1,044 in 2014 to 549 in 2023. Heirstone analysis

EXHIBIT 2

A full year of UK disposal proceeds pays for about five days of running the estate

UK central government estate, 2024-25. Each cell is one day of running costs; gold cells are the share covered by disposal proceeds



5 days: covered by a year of disposal proceeds, £367.3m

360 days: the rest of £26.6bn of running costs

Source: Cabinet Office / Office of Government Property, Government Estate Annual Data Publication 2024-25. **Heirstone analysis:** £367.3m / £26.6bn x 365 = 5.0 days.

IDLE STOCK

Estates count their empty space carefully and release it slowly

EXHIBIT 3

Estates publish their idle space; none of the sources we reviewed publishes its holding cost

Vacant, surplus and under-used public property as published, latest year

MEASURE	VALUE	CONTEXT
UNITED KINGDOM, CENTRAL ESTATE, 2024-25		
Vacant floor area	**597,800 m2**	Up from 547,700 m2 in 2023-24
Surplus floor area	**695,900 m2**	Surplus land a further 381 ha
Vacant office space	**149,800 m2**	Up 50.2% in a year, in a 2.7m m2 office estate
NETHERLANDS, RIJKSVASTGOEDBEDRIJF, 2023		
Vacant, awaiting disposal	**159,000 m2**	Plus 279,000 m2 vacant for renovation and 45,000 m2 frictional
FRANCE, STATE ESTATE		
Surplus properties handed to the Domaine	**1,636**	End-2022; three quarters rated hard or improbable to sell
GERMANY, BIMA, 2023		
Vacant dwellings awaiting renovation	**c.3,200**	Out of about 38,000 dwellings held
UNITED STATES, FEDERAL ESTATE		
Buildings completely unused	**c.8,000**	FY2021, plus 898 underutilised
Agencies using 25% or less of HQ capacity	**17 of 24**	January to March 2023 (GAO)
Average utilisation, sampled DC buildings	**12%**	Range about 2 to 26% (Public Buildings Reform Board, 2023)

Source: Government Estate Annual Data Publication 2024-25 (UK); Rijksvastgoedbedrijf, Financieel jaarverslag 2023; Sénat (June 2026); Fondation iFRAP (2026); Deutscher Bundestag, hib 215/2023; US Senate HSGAC (June 2023); US GAO, GAO-23-106200 (July 2023); Public Buildings Reform Board, Interim Report (March 2024).

£167

UK estate running cost per m2 a year (£26.6bn over 159.1m m2). Heirstone analysis

c.£100m

implied annual cost of the UK's 597,800 m2 of vacant space, an upper bound. Heirstone analysis

12.8%

UK running costs as a share of freehold value, 2024-25 (13.4% a year earlier). Heirstone analysis

US$18m

a year to operate and maintain one federal headquarters in Washington, the Frances Perkins building

Holding cost is the missing number. None of our sources publishes the cost of carrying vacant stock, but a proxy is possible for the UK: running costs of £26.6bn over 159.1 million m2 come to about £167 per m2 a year, and applied to the 597,800 m2 reported vacant that implies roughly £100m a year. That is an upper bound, since an empty building costs less to run than an occupied one, but it is more than a quarter of the year's disposal proceeds.

The United States tried a fast track. Under the Federal Assets Sale and Transfer Act, 14 of 23 recommended properties had been sold by August 2026 for about US$576m, about five months faster than the standard route. Congress appropriated nothing for the process in 2023-2025, and the GAO named funding among the challenges that slowed it.

Egypt's transfer of ministries to the New Administrative Capital, with 40,000 employees moved by July 2023, shows the scale at which this applies: a release programme of that size works best with its own budget for relocation and site preparation, committed before receipts arrive.

CHAPTER 2

02

Sold, then rented back

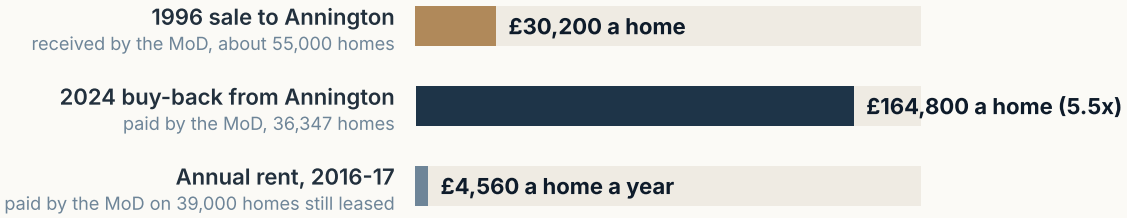
The largest losses in the record share one feature. The state sold a building or an estate that it still needed, then paid to keep using it or to buy it back. The price looked good on the day of sale. The cost arrived later, as rent and, in the clearest case, as a repurchase at 5.5 times the original price per home.

Exhibit 4 shows that case, the UK Ministry of Defence's family housing estate, per home. The state sold it once, rented it back for 28 years and then paid five and a half times as much per home to own it again.

EXHIBIT 4

Where the state bought back, it paid 5.5 times its own sale price per home

UK Ministry of Defence service family homes, England and Wales: price per home at sale (1996) and buy-back (2024), and rent per home (2016-17), £ thousand, nominal



Source: National Audit Office, The MoD's arrangement with Annington (January 2018) and Repurchase of service family accommodation (June 2026). **Heirstone analysis:** £1.66bn / 55,000; £5.99bn / 36,347; £178m / 39,000. Not adjusted for inflation.

The Ministry of Defence case is the cleanest on record. The department sold the homes in 1996 for about £30,200 each, leased most of them back, and in 2024 paid about £164,800 each to buy 36,347 of them back. In 2016-17 alone its rent came to about £4,560 a home.

Gains can also pass to the next owner without any buy-back. The Crown Estate sold Royal Mint Court, a 5.4-acre site, to Delancey for £51m in 2009, and Delancey sold it in 2018 to the People's Republic of China for a new embassy. The resale price is not published by either party, so the gain cannot be measured.

The Old War Office shows the alternative. The Ministry of Defence sold it in 2016 after a competitive marketing process, on a 250-year lease, for more than £350m, and expected to save £8m to £10m a year in running costs. Chapter 4 returns to it.

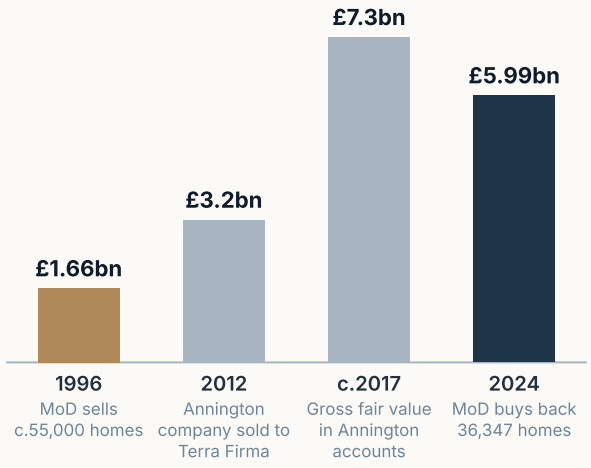
THE ANNINGTON ARRANGEMENT

A 1996 sale, 28 years of rent and a 2024 repurchase at £164,800 a home

EXHIBIT 5

The estate's value grew while the state paid rent on it

Values linked to the MoD service family estate, £bn, nominal



Source: National Audit Office (January 2018, paragraphs 2.19 to 2.21; June 2026). The 2012 figure is the price at which Nomura sold the estate to Terra Firma and its co-investors, including £2.75bn of debt.

In 1996 the Ministry of Defence sold about 55,000 service family homes in England and Wales to Annington for £1.66bn, roughly £30,200 a home, and leased most of them back. The National Audit Office estimated in 2018 that the department was £2.2bn to £4.2bn worse off over the first 21 years than if it had kept them. By 2016-17 it was paying £178m a year in rent for the 39,000 homes still leased, and 19% of them were empty.

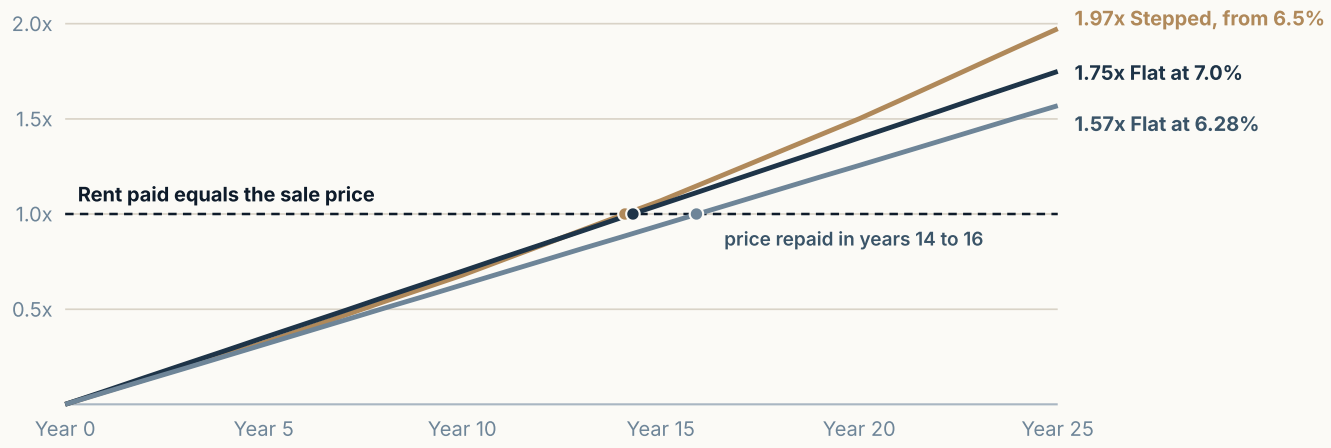
In December 2024 the MoD bought back 36,347 homes for £5.99bn, about £164,800 each, and was then paying £230m a year in rent. The Defence estate's freehold value rose 34.8% to £45.1bn in 2024-25, reflecting the repurchase.

Two ratios carry the lesson. By 2016 the annual rent equalled 10.7% of the original sale price, and by 2024 it equalled 13.9%. Selling an occupied estate is in effect borrowing against future rent, and here the rent rose while the sale price stayed fixed.

EXHIBIT 6

At rents of 6.3 to 7% of price, a leaseback repays the sale price in 14 to 16 years

Cumulative rent as a multiple of the sale price, by year of lease. Flat rent at 6.28% and 7% of price; stepped rent on the terms of Taleem REIT's 2020 purchase of a leased Riyadh school (6.5% initial yield, 10% step every five years)



Source: Rates: 6.28% return on the CMR's property portfolio in 2020 (Medias24) and yields above 7% on some funds holding Moroccan State leasebacks (Challenge.ma); stepped terms from Taleem REIT's 2020 acquisition (SAR 92m price, SAR 5.95m rent, 10% step every five years; Argaam). **Heirstone analysis.** Assumes rent equals yield times price, no indexation beyond the steps shown, and no purchase option.

None of this makes a leaseback wrong. It turns a building into cash today and a rent obligation for decades, which is a financing decision. That obligation is rarely shown next to the receipt. At the rates reported in Morocco, from the CMR's 6.28% to above 7% according to Challenge.ma, rent repays the price in 14 to 16 years; a stepped lease renewed for its full 25 years pays almost twice the price.



CHAPTER 3

03
The release clock

To see how route and timing shape outcomes, we built the Heirstone Release Register: 23 named releases of state land and buildings, from Whitehall offices and Paris town houses to Hong Kong police compounds, an Athens airport and the Mogamma in Cairo.

For each case the register records the route, the buyer or partner, the headline price, rent or cost, the size, the new use and, where published, the dates of vacancy, release and reopening. The cases come from the UK, France, Italy, Greece, Germany, Portugal, the United States, Singapore, Hong Kong and Egypt.

Two measures matter as much as price. The holding clock runs from vacancy to release, while the state pays to keep an empty building. The delivery clock runs from release to reopening, while neither the state nor the public gets any use from the site. A third arrangement is a sale agreed before the occupier leaves, so that the buyer carries the wait.

Prices are in local currency at the date of each transaction and cannot be compared without adjusting for tenure. A 250-year lease, a 50-year land grant and a freehold are different products, and a price paid in instalments is worth less than its headline. We compare cases on time and on terms, and use prices only within a case.

6

of the 23 releases have reopened on a date we could verify. Heirstone analysis

3 to 6

years from release to reopening where both dates are published. Heirstone analysis

9

of the 23 became, or are planned as, hotels. Heirstone analysis

The register is a record of named and documented cases, chosen because their prices, terms or dates are public. It is not a sample of all releases, and cases with poor outcomes may be under-reported.

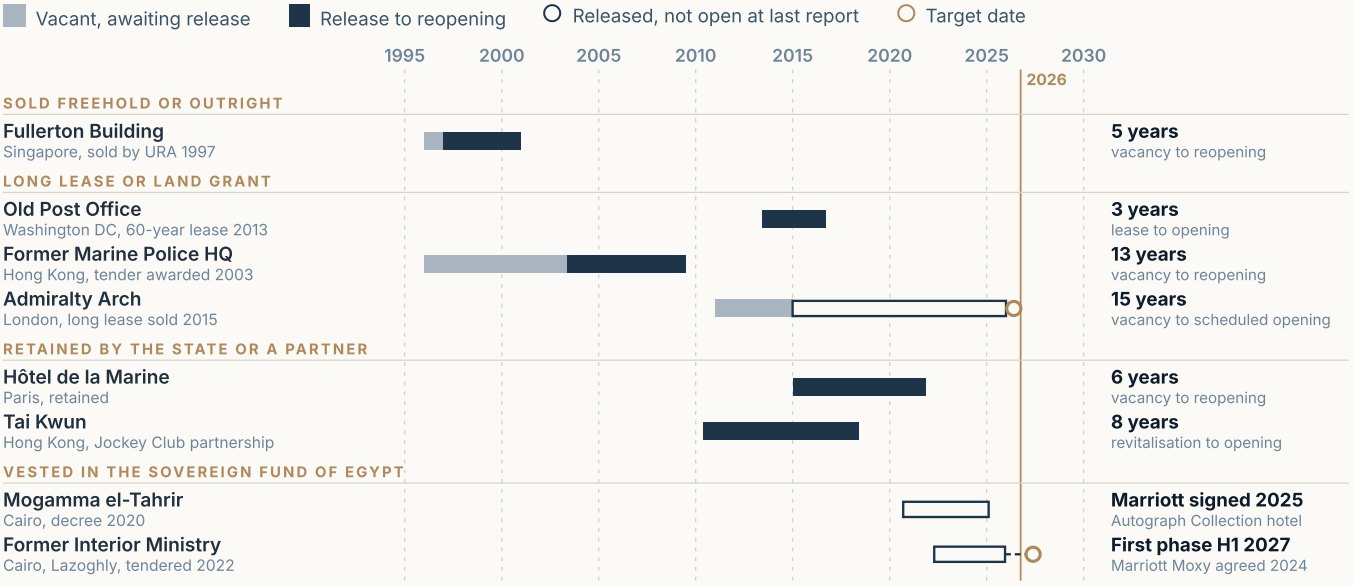
THE REGISTER ON A TIMELINE

Where both dates are published, reopening came three to six years after release

EXHIBIT 7

Reopening took 3 to 6 years after release; vacancy added up to seven more

Heirstone Release Register: years of vacancy, release and reopening for 8 cases with published dates



Source: Heirstone Release Register 2026, compiled from National Library Board Singapore (Infopedia); GSA Office of Inspector General (2019); Pacific Rim Construction (2009); The Caterer (2022); Hospitality Net (2025); Centre des monuments nationaux; SCMP (2018); Arup (2018); TSFE press releases (2023, 2024); Daily News Egypt (Dec 2025); Ahram Online (2025). Years are approximate to the quarter. The Hôtel de la Marine is a retained case where vacancy and release coincide; the Tai Kwun bar shows the eight-year revitalisation project.

Where both dates are published, reopening came three to six years after release. Washington's Old Post Office opened as a hotel three years after its 2013 ground lease. The Hôtel de la Marine stayed with the state as a monument and reopened six years after the Navy left. Hong Kong's former Marine Police headquarters reopened as 1881 Heritage six years after its tender was awarded, and the Fullerton Building reopened as a hotel within five years of its last tenants leaving.

The slowest cases waited on something outside the deal. Admiralty Arch, used as government offices until 2011, was still scheduled to open as a hotel in 2026, after a change of developer. The Marine Police compound stood empty for seven years before its tender was awarded. Chelsea Barracks received outline permission in 2011 and its first residents moved in during 2019. At Tempelhof in Berlin, where flights stopped in 2008, a 2014 referendum stopped development of a field of more than 300 hectares.

A sale agreed before the occupier leaves moves the holding clock to the buyer. Qatari Diar bought the former US Embassy in Grosvenor Square in 2009, and the embassy opened its new building in Nine Elms in 2018. Egypt's Decree 13 of 2024, under which ministries stay rent-free in buildings vested in the Sovereign Fund until they relocate, opens the same route in Cairo.

THE BENCHMARK

The Heirstone Release Register

EXHIBIT 8

Of 23 releases, 6 reopened on dates we could verify; in one, the state bought back what it sold

Named releases of state land and buildings, 1994-2026, with published prices, terms or dates. Highlighted: the buy-back, the most competed grant and the Cairo case

ASSET	ROUTE	RELEASED	PRICE, RENT OR COST	NEW USE	REOPENED
UNITED KINGDOM					
Old War Office, London	250-year lease, competitive marketing	2016	> £350m	Hotel and residences	Open
Admiralty Arch, London	Long lease	2015	£60m	Hotel, 100 keys	Sched. 2026
Chelsea Barracks, London	Sale (date and price n/v)	n/v	n/v (12.8 acres)	448 homes, 27% affordable	2019
Former US Embassy, London	Sale before vacancy	2009	£500m	Hotel, 137 rooms and suites	Open
Royal Mint Court, London	Sale	2009	£51m; resold to China (2018), price n/v	Offices; later an embassy site	n/a
MoD family homes, England, Wales	Sale and leaseback	1996	£1.66bn; repurchase £5.99bn (2024)	Military housing	n/a
FRANCE AND ITALY					
Hôtel de la Marine, Paris	Retained; gallery agreement	2015	€130m restoration budget	Monument, gallery	2021
Hôtel de Seignelay, Paris	60-year lease offered	2008	Lease valued at €20-25m	n/v	n/v
Hôtel-Dieu (one third), Paris	Building lease (80 years implied)	2019	€81m + €2m a year	Health hub and other uses	n/v
Punta Imperatore lighthouse, Ischia	Concession, up to 50 years	n/v	c.€75,000 a year	Hospitality	n/v
PORTUGAL, GREECE AND GERMANY					
Monastery of Lorvão	REVIVE concession, 50 years	n/v	€40,000 a year; €6.9m capex	Hotel	n/v
Paço Real de Caxias	REVIVE concession	n/v	€11.6m capex	Hotel	n/v
Forte da Ínsua	REVIVE concession	n/v	€1,001 a year	Tourism use	n/v
Hellinikon, Athens	Share sale, paid in instalments	2021	€915m (620 ha)	New city district	n/a
Tempelhofer Feld, Berlin	Retained after 2014 referendum	n/a	n/a (300+ ha)	Public open space	n/a
UNITED STATES					
Presidio, San Francisco	Federal trust, leasing	1996	Self-funding required by 2013	Park with residents and tenants	n/a
Fort Ord, Monterey County	Base closure	1994	n/v (monument 14,658 acres)	National monument (2012)	n/a
Old Post Office, Washington	60-year ground lease	2013	At least US$3m a year	Hotel	2016
SINGAPORE, HONG KONG AND EGYPT					
Fullerton Building, Singapore	Sale with adjoining land	1997	S$110m	Hotel	2001
Central Police Station, Hong Kong	Jockey Club partnership	n/v	HK$3.8bn revitalisation	Heritage and arts centre	2018
Former Marine Police HQ, Hong Kong	Tender for restoration and operation	2003	n/v	Heritage and retail (1881 Heritage)	2009
Murray Building, Hong Kong	50-year grant, hotel only	2013	HK$4.4bn	Hotel, 336 rooms	n/v
Mogamma el-Tahrir, Cairo	Vested in TSFE; investor-led	2020	> US$200m investment	Hotel, serviced apartments	n/v

Source: Heirstone Release Register 2026, compiled from GOV.UK (MoD), NAO, AP-HP, Batiweb, Centre des monuments nationaux, HKSAR Government, Development Bureau, SCMP, Pacific Rim Construction, Growthfund/HRADF, Grün Berlin, Turismo de Portugal, Agenzia del Demanio and Ediltecnico, Qatari Diar, Chelsea Barracks Partnership, CityAM, Bisnow, CoStar, Delancey, The Caterer, Hospitality Net, National Park Service, Bureau of Land Management, GSA Office of Inspector General, National Library Board Singapore, World Construction Network and Ahram Online. Released = year of sale, lease, grant, transfer or decision. Open = trading at last report; opening year not verified. n/v = not verified; n/a = not applicable. Hellinikon size excludes the shoreline. The Fullerton price covers the building and two adjoining land parcels.

CHAPTER 4

04

Terms that travel with the title

Conditions on use or conservation narrow the field of possible buyers. In the open tenders we found, they did not thin the bidding.

Hong Kong's Lands Department offered the Murray Building, a former government office building on Cotton Tree Drive, on a 50-year grant that allowed hotel use only, kept the existing building and capped floor area at 30,200 m2. It received 18 tenders and awarded the site in November 2013 for HK$4.4bn, about HK$145,700 per m2 of permitted floor area. The government's announcement listed the 17 unsuccessful tenderers alongside the winner.

> *The Murray Building grant barred demolition and allowed only a hotel. It drew 18 tenders.*

EXHIBIT 9

Conditions written into the grant did not deter bidders where the tender was open

Terms of seven long-tenure releases of state buildings

ASSET	YEAR	TENURE	CONDITIONS IN THE GRANT	COMPETITION	PRICE OR RENT	DERIVED
Murray Building, Hong Kong	2013	50-year land grant	Hotel use only; no demolition; max GFA 30,200 m2	18 tenders	HK$4.4bn	HK$145,700 per m2 GFA
Former Marine Police HQ, Hong Kong	2003	n/p	Restoration and operation of the heritage compound	Tender	n/p	n/p
Old War Office, London	2016	250-year lease	Grade II* listed building	Competitive marketing	> £350m	c.£6,500 per m2 or more
Admiralty Arch, London	2015	Long lease	n/p	n/p	£60m	n/p
Old Post Office, Washington	2013	60-year ground lease	n/p	n/p	At least US$3m a year	n/p
Hôtel-Dieu, Paris	2019	Building lease	Health hub on half the space	Developer selected	€81m + €2m a year	€241m over the term; 80 years implied
Hôtel de Seignelay, Paris	2008	60-year lease (99 if bids beat 60-year offers by 25%)	n/p	n/v	Valued at €20-25m	n/p

Source: HKSAR Government press release (6 November 2013); Pacific Rim Construction (November 2009); UK Ministry of Defence (March 2016); The Caterer (2022); GSA Office of Inspector General, JE19-002 (January 2019); AP-HP (February 2025); Batiweb (September 2008). **Heirstone analysis** for derived values. n/p = not published in the sources reviewed; n/v = not verified.

The Old War Office was sold in 2016 after a competitive marketing process, on a 250-year lease, for more than £350m, about £6,500 per m2 at the minimum price. The Ministry of Defence expected to save £8m to £10m a year in running costs, between 2.3% and 2.9% of the price for every year it might otherwise have held the building. It now trades as Raffles London at The OWO, with 120 rooms and suites.

Payment structure is a term as well. Paris's public hospitals chose a mixed payment for a third of the Hôtel-Dieu: €81m at signing and €2m a year, €241m over a term this implies is 80 years. Washington's Old Post Office cost the GSA more than it earned until its 2013 ground lease set a minimum rent of US$3m a year. In 2008 France first chose a long lease over a sale, offering the Hôtel de Seignelay for 60 years at a valuation of €20m to €25m.

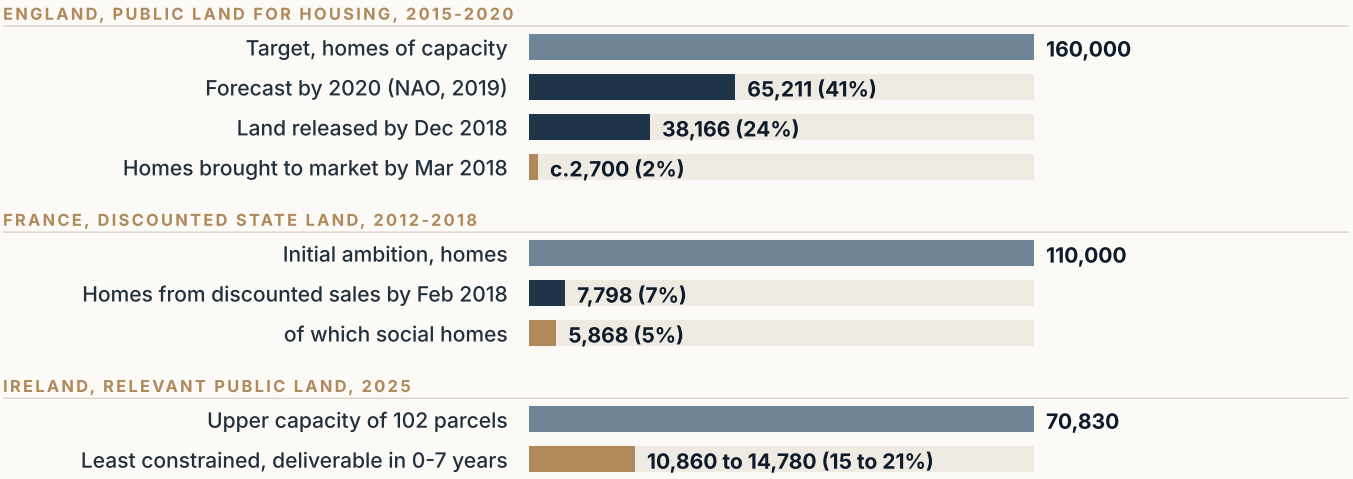
HOUSING TARGETS AND DISCOUNTS

Housing land programmes were measured in capacity, and far fewer homes reached the market

EXHIBIT 10

Headline housing numbers shrank at every stage between target and delivery

Homes at each stage as a share of the programme headline, %. Stages are reported at different dates



Source: National Audit Office (July 2016; May 2019, HC 2138); Banque des Territoires (2018) citing the Cour des comptes and Assemblée nationale; Land Development Agency, Report on Relevant Public Lands 2025. **Heirstone analysis.** English homes brought to market are for 2015-20 programme land as reported by the NAO; land released is to December 2018.

England's 2015-2020 programme set out to release public land with capacity for at least 160,000 homes and to raise £5bn. By December 2018 departments had released land for 38,166 homes and expected to reach 65,211 by 2020, 41% of the target. According to the NAO, around 2,700 homes had been brought to market on the programme's land by March 2018, and 176 sites had gone for £1 or less. Receipts reached £2.48bn by March 2018. Departments were not required to track homes built after disposal.

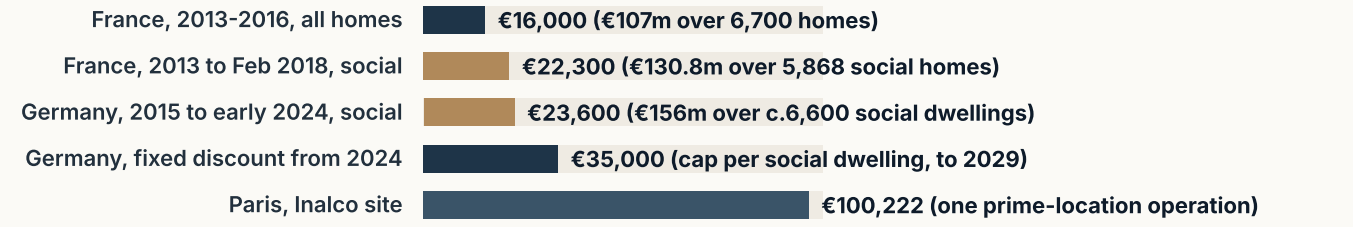
Ireland started from a statutory register. The Land Development Agency screened about 180,000 folios and found 102 parcels in 55 towns with capacity for 10,860 to 70,830 homes, of which 10,860 to 14,780 sit in the least constrained class, deliverable within seven years.

Discounts are a subsidy, and they can be priced. France's 2013 law allowed State land to be sold below value for social housing; by February 2018, 85 discounted sales had produced 7,798 homes at an average discount of 58%, about €130.8m of forgone receipts. Germany's BImA has granted discounts worth almost €264m on 635 sales since 2015, €156m of them for about 6,600 social dwellings, and raised the cap to €35,000 per dwelling in 2024. Inspections of 84 German discounted sales found no breach of the agreed purpose.

EXHIBIT 11

A land discount buys a social home for about €22,000 to €24,000

Forgone receipts per home, € (calculated)



Source: Banque des Territoires citing the Cour des comptes (2017) and Assemblée nationale (2018); VDIV (March 2024) on the BImA directive. **Heirstone analysis.** French discounts are a share of value; German discounts are fixed sums per dwelling.

CONCESSIONS AND RETAINED CONVERSIONS

Heritage concessions draw private capital into vacant state buildings, for modest rents

4 of 24

REVIVE concession contracts with the property already trading, from 32 tendered, according to Turismo de Portugal

1.6%

REVIVE rents as a share of committed investment a year: c. €3m on c.€190m. Heirstone analysis

€150m

revenue the Portuguese government targeted from REVIVE at launch in 2016, according to Idealista

HK$5m

maximum one-off grant for start-up costs and the first two years' deficits under Hong Kong's partnership scheme, on top of renovation grants and nominal rent

Hong Kong adds a non-profit variant. Under its Revitalising Historic Buildings Through Partnership Scheme, non-profit operators take on government-owned historic buildings at nominal rent, with a one-off grant for major renovation and up to HK$5m towards start-up costs and the first two years' deficits. The state pays for the works and collects little rent; in return the building reopens with a public use written into the agreement.

€125,000

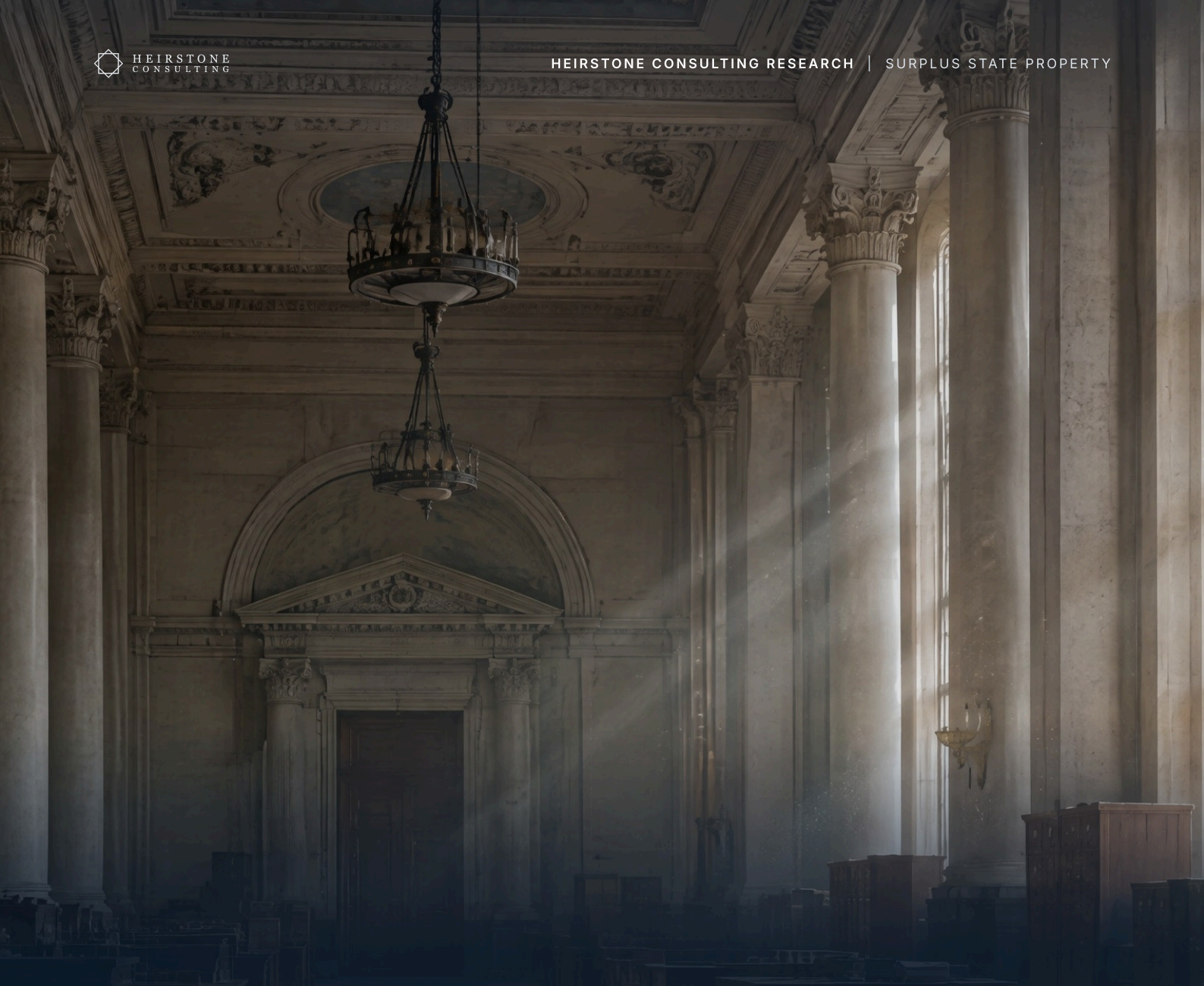
average annual rent per REVIVE contract: about €3m over 24 contracts. Heirstone analysis

Portugal's REVIVE programme, run by Turismo de Portugal with the economy, culture and finance ministries, offers vacant public heritage on 50-year concessions for tourism use. Turismo de Portugal reports 32 properties tendered, 24 contracts in force, about €190m of investment committed and about €3m a year in rents. Published awards range from €1,001 a year for the Forte da Ínsua to €40,000 a year for the Monastery of Lorvão, where the investor committed €6.9m. Only four of the properties are trading.

Italy's State property agency runs a similar network. Its 2017 call for buildings along walking and cycling routes offered 103 properties, free of charge for nine years renewable once to firms and associations mainly made up of people under 40, or on paid concessions of up to 50 years. By 2024, according to Ediltecnico, 46 properties across its lighthouse, tower and route programmes were under concession, and one lighthouse on Ischia pays about €75,000 a year against more than €0.6m of restoration.

On rent alone these programmes look thin. Measured by the capital moved into vacant buildings, with the asset returning to the state at the end of the term, they look better. Their weak point is the delivery clock: at the latest published count, four of 24 Portuguese contracts were trading, a decade after the programme was launched.

Retaining and curating is the alternative where public use matters most. France kept the Hôtel de la Marine after the Navy left in 2015, restored it between 2017 and 2020 on a budget of about €130m, and gave the Al Thani Collection a 20-year agreement for gallery space. Hong Kong's Jockey Club spent HK$3.8bn over eight years restoring the Central Police Station compound as Tai Kwun, which opened in 2018. Spain has run hotels in converted historic monuments since its first parador opened at Gredos in 1928.



CHAPTER 5

05 Vehicles built to wait

A different answer to surplus land is to stop selling it one site at a time. Hamburg, Copenhagen, Hong Kong, Singapore and Canada each placed public land in a vehicle with a development mandate and a long horizon.

Their accounts show what the route can achieve and what it asks of a government: decades of patience and the capacity to borrow against future land value. Income arrives unevenly, and the accounts also show where it goes, whether to infrastructure, reserves, dividends or the annual budget.

€1.5bn

HafenCity land sales, about half of the city's €3bn public investment in the district

DKK 22.3bn

By & Havn's debt at the end of 2024, to be repaid towards 2070

HK$10.3bn

MTR property development profit in 2024, nearly five times the 2023 figure

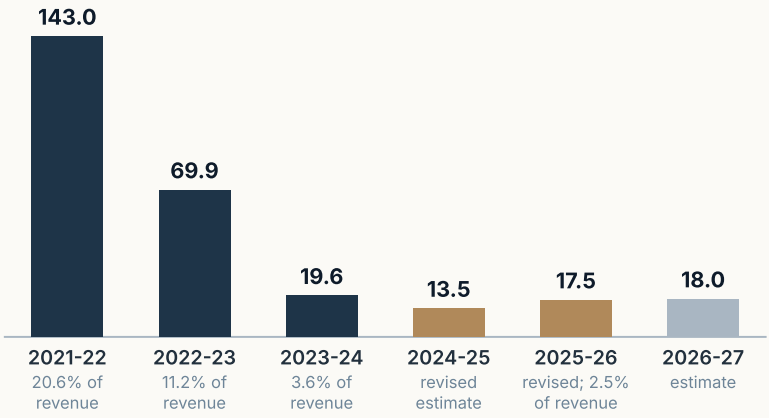
LAND INCOME

Land income arrives in lumps, so the budgets that rely on it swing with the property cycle

EXHIBIT 12

Hong Kong's land premium fell by about 90% in three years

Land premium revenue, HK$bn, by fiscal year

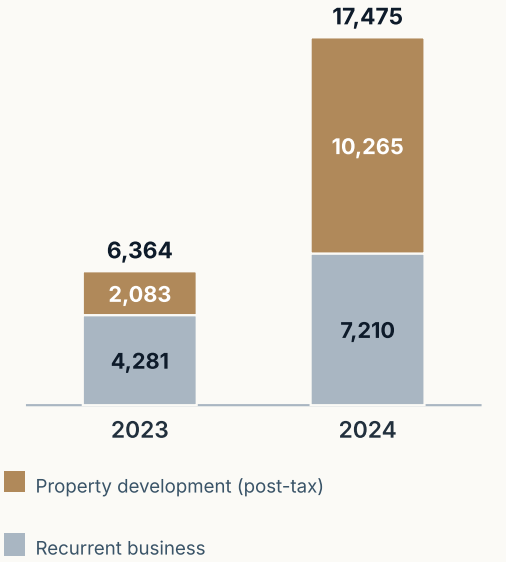


Source: Legislative Council Research Office, ISSF03/2024; HKSAR Budget Speeches 2025-26 and 2026-27. **Heirstone analysis** for the 2025-26 share and the fall.

EXHIBIT 13

Property development supplied 59% of MTR's 2024 underlying profit

MTR underlying business profit, HK$m



Source: MTR Corporation, 2024 Annual Results and Annual Report 2024. **Heirstone analysis:** 2023 recurrent profit derived as 6,364 less 2,083.

Hong Kong's government leases rather than sells land, and collects a premium when it grants or modifies a lease. In 2021-22 that premium brought in HK$143.0bn, 20.6% of government revenue. By 2023-24 it was HK$19.6bn, 3.6% of revenue, and the revised estimate for 2024-25, HK$13.5bn, was HK$19.5bn below the original budget. The revised figure for 2025-26 is HK$17.5bn, about 2.5% of total revenue of HK$688.8bn. The 2026-27 land sale list carries nine residential sites for about 6,650 flats and no general commercial sites.

MTR's rail-plus-property model shows the same lumpiness inside a company. Post-tax property development profit was HK$2.1bn in 2023 and HK$10.3bn in 2024, when it supplied 59% of underlying profit against 33% a year earlier. The company had 13 residential developments in progress, about 10,000 units, at its 2024 results, a pipeline that spreads bookings across years.

Singapore separates the two. Proceeds from the disposal of State land accrue to Past Reserves and are not spent directly; the budget draws on the investment returns, which fund about 20% of government spending, an estimated S$28.48bn for FY2026. Government Land Sales are announced every six months with a Confirmed List and a Reserve List released on developer demand. The 2026 Confirmed Lists carry 9,320 private homes.

-91%

Hong Kong land premium, 2021-22 to 2024-25. Heirstone analysis

20%

of Singapore government spending funded by returns on reserves, which receive land sale proceeds

10,000

MTR residential units in 13 developments under way at the 2024 results

URBAN DEVELOPMENT COMPANIES

The development companies that captured land value had a defined bill to pay and decades to pay it

EXHIBIT 14

Each vehicle tied land sales to a named purpose and ran for decades

Selected public land and property vehicles: ownership, land base, use of proceeds and latest published figures

VEHICLE	OWNER	LAND BASE	WHAT LAND PAYS FOR	LATEST PUBLISHED FIGURES	HORIZON
HafenCity Hamburg GmbH	City of Hamburg, 100%	157 ha of former port land; next, Grasbrook 47 ha	Roads, bridges, quays, parks	Public investment c.€3bn, of which c.€1.5bn from land sales; private c. €10bn; c.2.0m m2 GFA sold	Company set up 1995; c.8,000 homes at build-out
By & Havn	Copenhagen 95%, Danish state 5%	1,290 acres; Lynetteholm island, 2.8 km2	Metro and port infrastructure	Debt DKK 22.3bn; land sales DKK 583m; equity -DKK 759m (2024)	Created 2007; debt to be repaid towards 2070
MTR Corporation	HKSAR government, majority	Station and depot development rights	Railway network	Development profit HK$10.3bn (2024), HK$2.1bn (2023)	Listed 2000; c.10,000 units in progress
Canada Lands Company	Government of Canada	Surplus federal sites; CN Tower and other attractions	Dividends, taxes, housing	Revenue C$362.4m (2024-25): C$168.6m sales, C$131.0m attractions; over C$1.3bn to government since 1995	Real estate moved to Build Canada Homes, June 2026
Presidio Trust	US federal government	Hundreds of historic buildings in a former Army post	Park operations	Required by Congress to be financially self-sufficient by 2013	Created 1996, two years after the post passed to the Park Service
Singapore Land Authority and Government Land Sales	Government of Singapore	11,000 ha of State land; 2,600 State properties	Past Reserves	Proceeds not spent directly; 9,320 private homes on 2026 Confirmed Lists	Programme every six months
Vasakronan (sold)	AP1 to AP4 pension funds since 2008	166 properties, 2.4m m2	n/a	Sold at SEK 41.1bn property value (2008); c.SEK 175bn today after a merger	Sold 3 July 2008

Source: HafenCity Hamburg GmbH (company and facts pages); City of Copenhagen, Økonomiudvalget, 17 June 2025 (By & Havn annual report 2024); Lex.dk; MTR Corporation 2024 Annual Results; Canada Lands Company, Annual Report 2024-25; National Park Service (Presidio, Post to Park); Singapore Ministry of Finance and SLA; Vasakronan. Vasakronan values are not like-for-like.

HafenCity is the case most often cited, and its numbers support the reputation. On 157 hectares of former port land the city-owned company has sold about 2.0 million m2 of floor area, an average of about €750 per m2, and used the proceeds to pay for about half of some €3bn of public investment in roads, bridges, quays and parks. Private investment of about €10bn followed.

Copenhagen's By & Havn shows the cost of the same ambition. Created in 2007 to develop the Ørestad and port land and help fund the metro, it ended 2024 with DKK 22.3bn of debt and negative equity of DKK 759m. The debt equals about 38 years of its 2024 land sales of DKK 583m, and the year's DKK 342m profit depended on value adjustments, without which it lost DKK 212m. The long-term budget has debt peaking at DKK 24.7bn in 2028 and repaid towards 2070.

Canada Lands has run as a master developer since 1995, returning more than C$1.3bn to government. In 2024-25 real estate sales were 47% of revenue and attractions 36%, the CN Tower alone about C$120m. The Presidio Trust was told by Congress to become financially self-sufficient by 2013. Sweden went the other way, selling Vasakronan to its pension funds in 2008.

38 years

of By & Havn's 2024 land sales to equal its debt. Heirstone analysis

€750

average HafenCity land receipt per m2 of floor area sold. Heirstone analysis

63 years

from By & Havn's creation in 2007 to its planned debt repayment horizon, 2070

CHAPTER 6

06

The Heirstone Second Price Test

The evidence in the first five chapters points to five costs that follow a release and that the sale price does not capture. Together they make up the second price. Each can be estimated before a route is chosen, from data a land agency already holds or can commission.

The test is simple to state. Before choosing a route, an agency should be able to put a number against each of the five lines. Where it cannot, the gap tells the agency which data to collect before it goes to market.

EXHIBIT 15

Five lines make up the second price, and each can be measured before release

The Heirstone Second Price Test: question, metric and benchmark

	LINE	THE QUESTION	WHAT TO COMPUTE	BENCHMARK FROM THIS REPORT
1	Rent-back	Will the state, or a body it funds, need this space again within the term?	Annual rent as a share of the sale price; cumulative rent over the lease	Annington rent reached 13.9% of the 1996 price a year; at 6.28-7%, a leaseback repays the price in 14-16 years
2	Holding	What does each year of keeping the asset cost?	Running cost and lost use per year, as a share of value	Old War Office: 2.3-2.9% of price a year; UK estate running costs 12.8% of value a year
3	Delivery	How many years from vacancy to reopening, and who carries them?	Holding clock plus delivery clock, by route	3 to 6 years from release to reopening where both dates are published; Admiralty Arch 15 years from vacancy to scheduled opening
4	Upside	Who keeps the gain if planning or the market moves?	Overage, revenue share, reversion or retained stake	Egypt kept a 35% stake in Ras El Hekma; the Lazoghly lease pays fixed rent plus a revenue share
5	Proceeds	Where does the money go, and does it replace a recurring bill?	Share of receipts ring-fenced to capital, debt or reserves	Singapore credits land proceeds to reserves; Hong Kong's premium fell 91% in three years

Source: Heirstone analysis, drawing on Exhibits 1 to 14 and the Heirstone Release Register 2026.

The first two lines pull in opposite directions. Selling quickly cuts the holding cost and creates rent-back risk if the state still needs the space; holding avoids rent-back and runs up the holding cost. The test puts both on the same page, so the trade-off between them becomes an explicit choice.

The last three lines are where the route and the contract matter most. Delivery depends on whether the use is settled before release, upside on whether the state keeps a share, and proceeds on a budget rule. Each can be handled in the tender documents and budget rules agencies already use.

APPLYING THE TEST

Every route trades cash today against at least one line of the second price

The Release Route Matrix scores seven routes on what they deliver at release and on their exposure to the second price. Scores are Heirstone judgements, from none to high, grounded in the cases shown in the evidence column.

EXHIBIT 16

No route scores well on both cash at release and upside kept

Heirstone Release Route Matrix: seven routes scored from none (no filled dots) to high (three)

ROUTE	CASH AT RELEASE	RENT-BACK EXPOSURE	HOLDING AND DELAY EXPOSURE	UPSIDE KEPT BY THE STATE	EVIDENCE IN THIS REPORT	WHAT DRIVES THE SECOND PRICE
Freehold sale after vacancy	●●●	○○○	●●○	○○○	Fullerton 5 years from vacancy to reopening; Royal Mint Court resold within nine years	Vacancy cost carried by the state; no share of later gains unless overage is written in
Sale before vacancy	●●●	●○○	○○○	○○○	Former US Embassy: sold 2009, vacated 2018	The buyer carries the wait; the occupier's move date must be firm
Sale and leaseback	●●●	●●●	○○○	○○○	MoD homes bought back at 5.5x; Morocco MAD 37bn of identified tranches	Rent from day one, 6.3 to 7% of price in reported Moroccan cases
Long lease or land grant with conditions	●●○	○○○	●○○	●●○	Murray 18 tenders; Old War Office over £350m; Admiralty Arch 15 years from vacancy	Asset returns at the end of the term; use secured by the grant
Heritage concession	●○○	○○○	●●○	●●●	REVIVE: 24 contracts, 4 trading; rents 1.6% of capex	Capital moves in; cash to the state is small; opening is slow
Vest in a fund or development company	●○○	○○○	●●○	●●●	HafenCity: half of €3bn public works from land; By & Havn debt to 2070; Lazoghly revenue share	Needs borrowing capacity and a defined use of proceeds
Retain and reuse or curate	○○○	○○○	●○○	●●●	Hôtel de la Marine €130m budget; Tai Kwun HK$3.8bn; SPGA reallocation	No receipt; avoids rent elsewhere in government

● Gold: higher is better for the state ● Navy: higher means more exposure ○ Unfilled: none

Source: Heirstone analysis of the Heirstone Release Register 2026 and Exhibits 1 to 14. Scores describe typical exposure for each route, not the outcome of any single case.

Read across a row and the matrix shows what a route asks the state to accept. A sale and leaseback gives the most cash at release and the highest rent-back exposure. A heritage concession or a development company keeps the upside and moves capital into the asset, at the price of little early cash and a long delivery clock.

Read down a column and it shows where each line can be managed. Rent-back exposure is concentrated in one route. Holding and delay sit with the state in a freehold sale after vacancy and pass to the buyer when the sale is agreed before the occupier leaves. Upside can be kept in almost any route if the contract says so: through overage on a freehold sale, a revenue share on a lease, or a reversion at the end of a concession.

Two practical rules follow. A route should be chosen against the line that matters most for that asset. For an operational building the state may need again, that is rent-back. For a landmark, it is delivery and use. Then the contract should close the lines the route leaves open, which is cheaper to do at tender than after award.

The test also changes what an agency reports. Receipts alone reward fast sales and hide rent-back and lost upside. Adding the realisation ratio, the holding cost and the years to reopening puts the second price into the annual record, where a finance ministry can see it.

CHAPTER 7

07 Egypt, Saudi Arabia, the UAE and Morocco

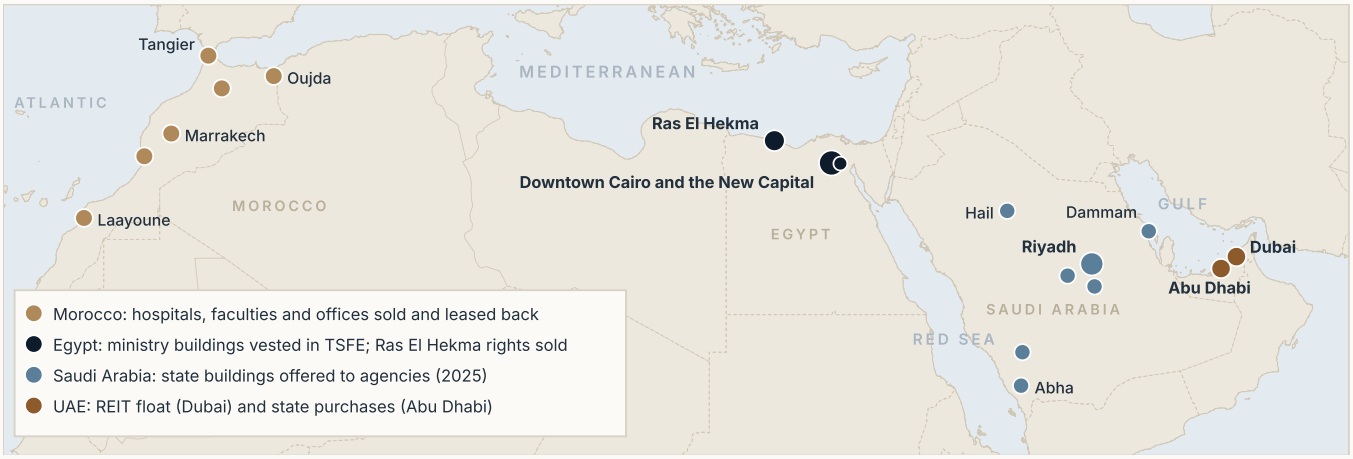
The region is releasing state property through several routes at once. Egypt has moved its government to a new capital, vested the vacated central Cairo buildings in its sovereign fund and sold the development rights to Ras El Hekma while keeping a stake. Morocco has sold public buildings to institutional investors and leased them back. Saudi Arabia's State Properties General Authority reclaims and reallocates land and buildings inside government before offering them outside.

In the UAE, Dubai Holding has floated a minority stake in a residential REIT, and Abu Dhabi has acted as a buyer of developer assets. Each route maps onto a different line of the second price.

EXHIBIT 17

Five release routes are in use across the region at the same time

Locations of named state assets released, offered or transacted, by country, 2010-2025



Source: Medias24 (Moroccan assets acquired by CMR); TSFE and Cairo Governorate (Egypt); Amlak, August 2025 (Saudi buildings offered by SPGA); Dubai Media Office (2025); The National and MEED (Abu Dhabi, 2010-2011). Natural Earth. ADQ and Modon (Ras El Hekma). Positions from GeoNames; Ras El Hekma (the cape) and the New Administrative Capital are approximate.

Four lessons from the earlier chapters carry straight across. The first concerns large moves. When a government relocates, as Egypt's has, buildings can be offered while the ministries are still in them, as the former US Embassy was in London, so that the buyer carries the wait.

The second is arithmetic. A sale and leaseback is a financing tool whose cost is the rent line, as the Annington case showed. Among the regional cases we reviewed, Morocco's programme is the largest use of it.

The third is reuse inside government. Saudi Arabia's authority has reallocated land and buildings between public bodies before offering them outside. That addresses the kind of under-use US auditors documented in 2023, when 17 of 24 federal agencies used a quarter or less of their headquarters.

The fourth is the capital market. Dubai's REIT float priced a state-owned portfolio openly while selling only a minority stake.

40,000

government employees moved to Egypt's New Capital by July 2023

MAD 55bn

mobilised by Morocco's innovative financing, 2019 to mid-2024 (Boursenews)

324m m2

of land allocated by SPGA to 24 government entities in 2021

EGYPT

The move to the New Administrative Capital has turned a ministry quarter into a release pipeline

By late July 2023, 100 government agencies, including 30 ministries, and 40,000 employees had moved to the New Administrative Capital, according to Cairo Governorate; the Cabinet spokesman put the number of ministries and affiliated entities that had completed the move at 107 the following month. The buildings they left are concentrated in a few square kilometres between Tahrir Square, Qasr al-Aini and Lazoghly.

Egypt has given its sovereign fund one of the broadest legal toolkits we found. Law 177 of 2018 lets the President, on the proposal of the Prime Minister and the competent minister, transfer ownership of unused state assets to the Sovereign Fund of Egypt (TSFE). Transferred assets are booked at market value on the basis of three appraisals by valuers certified by the Financial Regulatory Authority and the Central Bank, and may be sold, leased with an option to buy, licensed or contributed in kind to a partnership. A 2020 amendment provides that only the parties to a TSFE contract may challenge its validity in court.

TSFE's tourism, real estate and antiquities sub-fund, set up in August 2020, holds the downtown assets. Decree 13 of 2024 added the headquarters of 13 ministries, which remain in their buildings rent-free until they relocate, and TSFE planned to offer seven to eight former ministerial headquarters to investors from the second half of 2024, according to Enterprise. Its blueprint for the area was prepared with the EBRD and two other international advisers.

40,000

employees of 100 agencies moved to the New Capital by July 2023

c.100,000

m2 of built-up area in the Mogamma and the former Interior Ministry alone. Heirstone analysis

3

independent appraisals required by law before a transferred asset is booked at market value

3,000

direct jobs projected at Lazoghly, plus 10,000 indirect (2025)

EXHIBIT 18

Central Cairo's released buildings are held by one fund and released mainly by lease and partnership

State buildings and sites in central Cairo vested in TSFE, with published terms

ASSET	FORMER USE	INSTRUMENT	AREA	PARTNER OR BIDDER	STRUCTURE AND PROGRAMME
Mogamma el-Tahrir	Central administrative complex, 14 storeys	Presidential decree, Sep 2020	58,000 m2 BUA	Cairo House Egypt consortium; Marriott (Autograph Collection)	Hotel of about 500 rooms with serviced apartments; over US$200m
Former Interior Ministry HQ, Lazoghly	Interior Ministry HQ; 7 to 10 buildings	Vested in TSFE; tender Apr 2022	39,895 to 41,950 m2 BUA	A Developments (2023), then Reliance; Marriott (Moxy)	25-year lease, fixed rent plus revenue share; 364 rooms, offices, retail
Former NDP headquarters site	Party HQ, demolished 2015	Presidential decree, 2020	16,612 m2 site, Nile frontage	Several groups since 2020; bids under review (2025)	Mixed use or hotel; towers reported
Thirteen ministries' headquarters	Incl. Foreign Affairs at Maspero, Justice at Lazoghly	Decree 13 of 2024	n/p	Seven to eight HQs to be offered from 2H 2024 (Enterprise)	Ministries stay rent-free until they relocate
Bab al-Azab	Historic precinct by the Citadel	Held by TSFE sub-fund	70,000 m2 site	With Bidyat	n/p
Nasser Institute extension	Corniche el-Nil	Held by TSFE sub-fund	13,700 m2 plot; 23,800 m2 BUA	n/p	n/p

Source: TSFE, Tourism, Real Estate and Antiquities Sub-fund and press releases (March 2023, July 2024); Law 177 of 2018; Enterprise (January 2024, June 2024); CairoScene (January 2024); Ahram Online (February 2025); Daily News Egypt (December 2025); Amwal Al Ghad (2020). Lazoghly building count and area differ between TSFE sources; both are shown. n/p = not published in the sources reviewed.

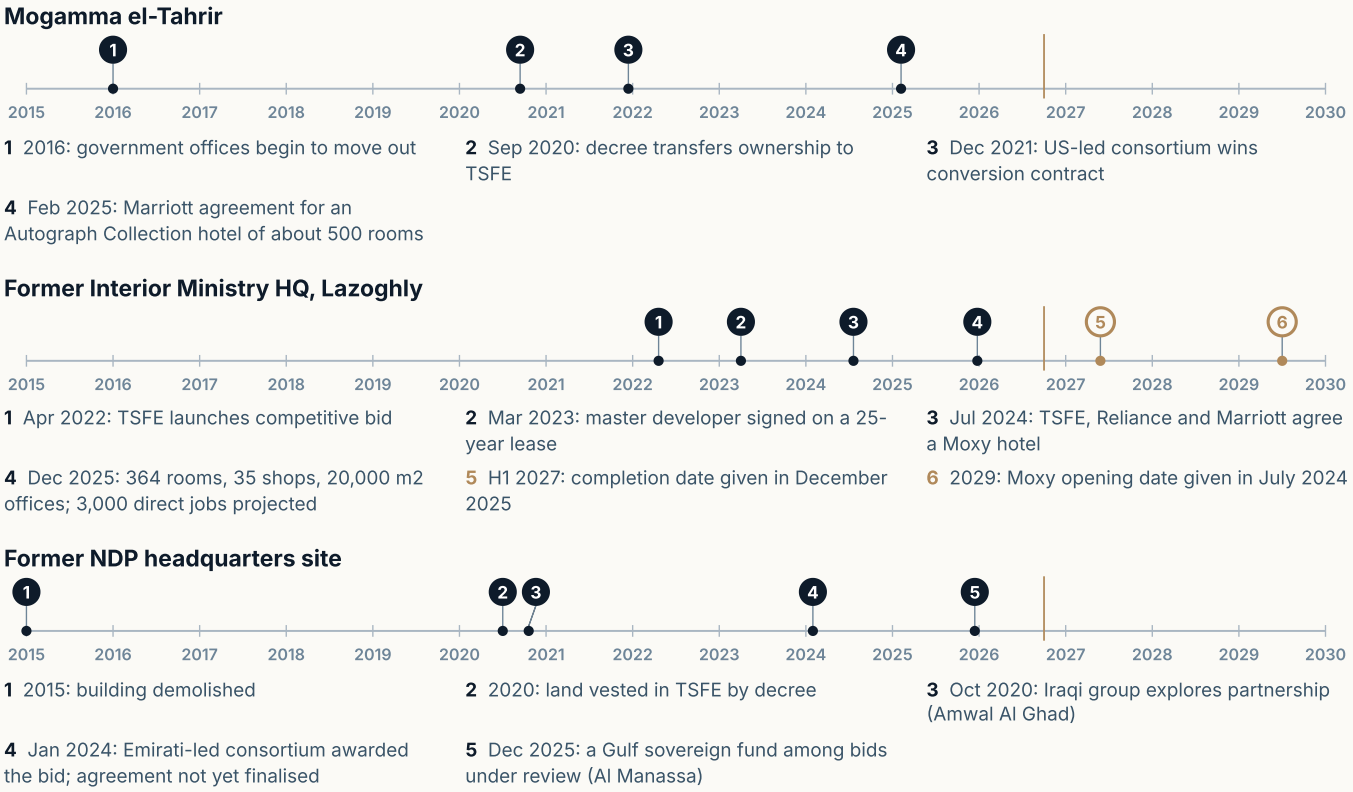
EGYPT, CONTINUED

Egypt keeps title and a share of revenue. Both large buildings now have Marriott brands.

EXHIBIT 19

Marriott brands signed at the Mogamma and Lazoghly, and several bidders for the NDP site

Milestones for three central Cairo releases, 2015-2029. Navy: reported events; gold rings: target dates as reported at the time; gold line: 2026



Source: TSFE press releases (March 2023, July 2024); Enterprise (February 2020, August 2022, January 2024, January 2025); World Construction Network (December 2021); Ahram Online (February 2025); Daily News Egypt (December 2025); Amwal Al Ghad (October 2020); Al Manassa (2025). Several items are single press reports and are attributed in the text.

Applied to Cairo, the Second Price Test gives a clear reading. Rent-back exposure is low: ministries have moved to new buildings and are not leasing their old ones back. Upside is largely kept, since title stays with TSFE and the Lazoghly award pays fixed rent plus a share of revenue.

Delivery is where the second price sits, here as across the register. The Mogamma contract was awarded in December 2021, and Marriott signed in February 2025 for an Autograph Collection hotel of about 500 rooms. Lazoghly's first phase is scheduled for the first half of 2027, and the complex plans 364 hotel rooms under a Moxy agreed with Marriott in July 2024. At least three investor groups have been linked to the NDP site since 2020, most recently a Gulf sovereign fund (Al Manassa).

Two steps from the register would build on what TSFE already publishes, namely the law, the decrees and the partners for each asset. Adding tenure, rent terms and target opening dates for each Cairo building would let investors price delivery risk. Offering the 13 ministries' buildings before they move, with firm dates, would shift the wait to the buyer.

c.US$400k

investment per hotel room at the Mogamma: over US$200m for about 500 rooms, before allowing for the serviced apartments the total also covers. Heirstone analysis

EGP 19-20k

Lazoghly capex per m2 of built-up area: EGP 800m over 39,895 to 41,950 m2, in 2023 pounds. Heirstone analysis

EGYPT: LAND FOR INVESTMENT

Ras El Hekma and Hellinikon sold at similar prices per square metre, on very different payment terms

Ras El Hekma, on Egypt's Mediterranean coast, is a land release. In February 2024 an ADQ-led consortium agreed to pay US$24bn for its development rights and to convert US$11bn of deposits into investment in Egypt, US$35bn in all, according to ADQ. The Egyptian government kept a 35% stake in the development.

EXHIBIT 20

Two coastal land releases with similar prices per m2 differ on payment timing and on the interest the state kept

Ras El Hekma (Egypt, 2024) and Hellinikon (Greece, 2021) on the five lines of the Heirstone Second Price Test, as published

LINE OF THE TEST	RAS EL HEKMA, EGYPT	HELLINIKON, GREECE
What was released	Development rights to 170.8 million m2 with 44 km of coastline, planned as 17 precincts	All the shares of Hellinikon S.A.: 6.2 million m2 of former airport land, excluding the shoreline
Buyer	ADQ-led consortium; Modon as lead developer	Lamda Development, through Hellinikon Global I
Headline price	US$24bn, plus US$11bn of deposits converted to investment (February 2024)	€915m (financial close June 2021)
Price per m2 of site	c.US$141 (170.8m m2) or c.US$185 (130m m2, The National); Heirstone analysis	c.€148, roughly US$175-180 at mid-2021 rates; Heirstone analysis
1 Rent-back	None	None
2 Holding	No government function to move out first	Former airport site; holding period not published in the sources reviewed
3 Delivery	Works from early 2025; investment of over US$150bn (ADQ, 2024) or US$110bn by 2045 (Modon, 2026)	€8bn in total, of which €5bn mandatory in the first period, including €1.5bn of infrastructure
4 Upside kept by the state	35% stake in the development	None published: 100% share sale
5 Proceeds and timing	US$10bn within a week of signing, US$14bn within two months (The National)	€300m at close; 51% of the price paid by June 2023

Source: ADQ press release (23 February 2024); The National (27 February 2024); Modon Holding, ADX disclosure (17 May 2026); Growthfund/HRADF (2021, June 2023). **Heirstone analysis:** US$24bn / 170.8 million m2 (Modon) or 130 million m2 (The National); €915m / 6.2 million m2, converted at about US$1.2 to the euro, the approximate mid-2021 rate. The two sites differ in location, use and density.

Set side by side, the two transactions price land at similar levels: about US$141 per m2 of site at Ras El Hekma on Modon's 170.8 million m2, or US$185 on the 130 million m2 The National reported, against about €148 at Hellinikon, roughly US$175 to US$180. The sites differ in most other respects. ADQ expected Ras El Hekma to attract more than US$150bn of investment, and Modon's 2026 disclosure gives US$110bn by 2045, 4.6 to 6.3 times the price. Hellinikon's total is put at €8bn, 8.7 times its price.

The other lines of the test separate them. Egypt's price was due within two months, according to The National, and it kept a 35% stake, so part of the gain from development stays with the state. Greece sold all the shares of the site company and is paid in instalments, with 51% received two years after financial close.

The open line at Ras El Hekma is delivery, and the plan has taken shape: 17 precincts on 44 km of coast, with Modon partnering Montage Hotels & Resorts in May 2026. The value of Egypt's stake grows as the expected investment arrives; setting out the stake terms and the phasing would let investors price that interest.

US$141-185

per m2 of site for Ras El Hekma's development rights: US$24bn over 170.8 or 130 million m2, depending on the source. Heirstone analysis

35%

stake in the development kept by the Egyptian government

2 months

reported schedule for paying the US$24bn, against 51% of Hellinikon's price received two years after close

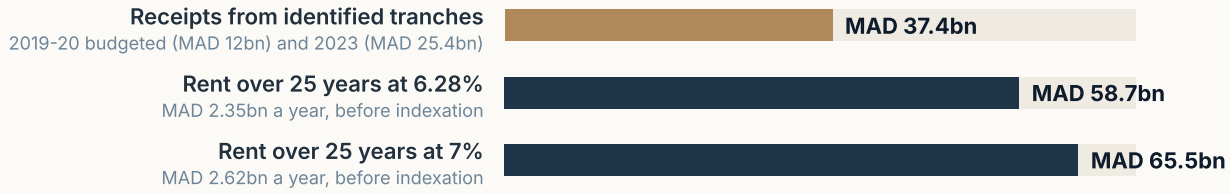
MOROCCO AND SAUDI ARABIA

Morocco sells and leases back. Saudi Arabia reallocates before it disposes.

EXHIBIT 21

At the returns reported, 25 years of rent would come to 1.6 to 1.75 times the identified leaseback receipts

Moroccan State sale-and-leaseback tranches against indicative cumulative rent over a 25-year minimum term, MAD bn



Source: Medias24 (receipts budgeted for 2019-20; 6.28% return on the CMR's property portfolio in 2020); FNH (2023 tranche of 175 buildings); Challenge.ma (yields above 7% on some funds). **Heirstone analysis.** Assumes rent equals the reported rate times price, flat for 25 years. Lease terms, indexation and end-of-term arrangements are not published in the sources reviewed.

Morocco's innovative financing programme has raised about MAD 55bn since 2019, according to Boursenews. In November 2019 the State sold five university hospitals to the pension fund CMR and leased them back, at a reported MAD 4.6bn to MAD 5bn. The 2019 and 2020 budgets counted on MAD 12bn of receipts from the mechanism, and only two institutional buyers took part. The larger, the CMR, built up a property portfolio worth MAD 8.6bn, mostly bought from the State, including the Laayoune hospital and six medical and pharmacy faculties. In 2023 the sale of 175 administrative buildings and public facilities raised MAD 25.4bn, about MAD 145m a building. Leases run for at least 25 years, and the World Bank, as reported by Bladi.net, put 2025 receipts at about 2% of GDP.

This is a deliberate financing choice. In June 2024 the governor of Bank Al-Maghrib called for innovative financing to be regulated, citing rising volumes, the long-term rent burden on the budget and possible crowding out of Treasury issuance. The test adds one disclosure: each tranche's rent schedule, published beside its receipt.

Saudi Arabia's State Properties General Authority, set up in 2018 with the Minister of Finance chairing its board, has a mandate to dispose of state property by investment, privatisation and leasing, to set up companies and funds, and to build an electronic register with GIS. Its published activity has centred on reallocation within government. In 2021 it reclaimed 10 million m2 of unused land valued at about SAR 1bn and allocated 324 million m2 to 24 government entities through 64 orders. According to the Saudi daily Ajel, entities have had to consult it since December 2020 before renting any property above SAR 200,000 a year, at a time when the state rented about 20,000 sites. In August 2025, Amlak reported, it offered ten state buildings, 43,055 m2 in all, to government entities in place of other accommodation.

MAD 145m

average price per building in Morocco's 2023 tranche of 175. Heirstone analysis

SAR 200k

annual rent above which Saudi entities must consult SPGA before leasing, according to Ajel (2020)

10m m2

of unused government land reclaimed by SPGA in 2021, valued at about SAR 1bn

7

chapters in the 2023 Regulation on the Disposal of State Real Estate, covering sale and leasing

THE UAE, AND THE REGION AGAINST THE TEST

Dubai used the capital market; Abu Dhabi has bought as well as sold

Dubai's largest recent release used the capital market. In May 2025 Dubai Holding priced the Dubai Residential REIT at AED 1.10 a unit, selling 15% of the units for AED 2,145m and valuing the REIT, which holds 35,700 homes, at AED 14.3bn, about AED 401,000 a home. The offer was more than 26 times oversubscribed, with a 7.7% gross dividend yield for 2025. A minority float keeps control while setting a market price for the remaining 85%.

Abu Dhabi shows that state property can flow the other way. In February 2010 the government bought Yas Island infrastructure and attractions, including the Formula One circuit, from Aldar for AED 9.138bn, and in January 2011 agreed a further package of about US$5.2bn, including Ferrari World. A separate land exchange of about six million m2 of floor area gave the government land on Al Raha Beach and Lulu Island and gave Aldar serviced plots in the Saadiyat Cultural District and at Mina Zayed. In Oman, the state-owned OMRAN Group reports more than US$1bn of assets and 32 hospitality properties.

AED 401k

implied value per home in the Dubai Residential REIT at IPO. Heirstone analysis

26x

oversubscription for the 15% float, with demand above AED 56bn

EXHIBIT 22

Each country's route leaves a different line of the second price open

MENA release routes assessed against the Heirstone Second Price Test, latest published information

COUNTRY	ROUTE	CASH AT RELEASE	RENT-BACK	HOLDING AND DELIVERY	UPSIDE	PROCEEDS AND DISCLOSURE
Egypt: central Cairo	Vest in the sovereign fund; lease or partner	Low at release; rent and revenue share over 25 years at Lazoghly	Low: ministries moved to new buildings; rent-free until relocation	Hotel openings at the Mogamma and Lazoghly; Marriott brands signed	Kept: title retained; revenue share at Lazoghly	Law, decrees and partners published; asset values would complete the record
Egypt: Ras El Hekma	Sell development rights; keep a stake	High: US$24bn due within two months, as reported	None	Carried by the developer; investment expected over two decades	Kept in part: 35% stake	Price and stake published by ADQ; plan disclosed by Modon (2026)
Morocco	Sell and lease back to institutional funds	High: about MAD 55bn since 2019; about 2% of GDP in 2025	High: leases of 25 years or more; reported returns of 6.28% to over 7%	Low: buildings stay in use	Passes to the buyers for the term	Tranche totals published; rents and end-of-term terms not published
Saudi Arabia	Reclaim and reallocate inside government; dispose under the 2023 regulation	Low so far	Reduced: lease gate above SAR 200,000; state buildings offered to agencies	Reallocation of 324m m2 to 24 entities in 2021	Kept	Register and GIS mandated; allocation totals published
UAE: Dubai	Minority REIT float by a state-owned group	Medium: AED 2.1bn for 15%	None	None: income-producing homes	Kept: 85% retained	Listed REIT disclosure; 7.7% gross yield for 2025
UAE: Abu Dhabi	State as buyer and land swap (from 2010)	Reverse flow: the state paid AED 9.1bn for Yas Island assets in 2010	n/a	n/a	Acquired	Transaction values reported in the press

Source: Heirstone analysis of TSFE, Cairo Governorate, ADQ, The National, Medias24, FNH, Boursenews, Bladi.net, Saudipedia, Argaam, Ajel, Amlak, Dubai Media Office, The National and MEED, as cited in this chapter. Assessments describe published structures and are not ratings of any government.

Read together, the routes show that the region has the instruments: a sovereign fund with transfer and valuation powers, institutional buyers for public buildings, an authority that can reallocate land within government and a stock market that absorbed a residential REIT. The next step is to publish the data the second price needs: asset-level values, rent schedules and opening dates.

WHAT TO DO

Measure the second price first, then choose the route

The steps below follow from the evidence, and most cost little. They ask an agency to measure what happens after a release as carefully as it records the price.

WHAT TO DO	THE EVIDENCE
GOVERNMENTS AND LAND AGENCIES	
Publish a valued register before launching a release programme.	Ireland screened about 180,000 folios to 102 parcels; SPGA has a register and GIS mandate; the UK values its 203,400 holdings.
Report the realisation ratio, holding cost and years to reopening every year, next to receipts.	The UK realised 0.18% of value in 2024-25 while spending 12.8% of value on running costs.
Fund relocation, clearance and preparation before receipts arrive.	The US fast track saved about five months per disposal, but 9 of 23 approved properties had not been disposed of by August 2026, with funding among the causes the GAO cited.
Before selling an operational building, price the rent-back and a buy-back option.	The MoD repurchased homes at 5.5 times the 1996 price per home, after 28 years of rent.
Count homes delivered when setting and reporting housing land targets.	England forecast 41% of its 160,000-home target; about 2,700 homes reached market by March 2018.
SOVEREIGN FUNDS AND MASTER DEVELOPERS	
Tender use-conditioned grants openly and publish the bid list.	The Murray Building drew 18 tenders for a hotel-only, no-demolition grant.
Combine an upfront premium with an income stream or revenue share.	Hôtel-Dieu: €81m at signing plus €2m a year; Lazoghly: fixed rent plus revenue share.
Agree sales before vacancy where the move date is firm.	The former US Embassy in London was sold in 2009, nine years before the embassy moved to its new building.
When selling development rights to a large site, keep a stake and publish its terms.	Ras El Hekma: US$24bn due within two months and a 35% state stake; Hellinikon: a 100% share sale, 51% paid two years after close.
Tie land proceeds to a named bill or to reserves.	Land sales paid for half of HafenCity's public works; Singapore credits proceeds to reserves.
INVESTORS AND LENDERS	
Underwrite the occupier's exit date and the planning path as closely as the price.	Admiralty Arch was still not open 15 years after it was vacated; Chelsea Barracks had its first residents eight years after outline permission.
In public leasebacks, price indexation and end-of-term options.	A stepped lease of the Taleem type pays almost twice the price over 25 years.
Discount instalment prices to present value.	Hellinikon's €915m was 51% paid two years after financial close.
HOTEL AND MIXED-USE OPERATORS	
Engage at tender stage, when use conditions are written.	Nine of the 23 releases in the register became, or are planned as, hotels, including Raffles, Rosewood, Waldorf Astoria and Autograph Collection; Lazoghly adds a Moxy.

How Heirstone works on state land and buildings

We help governments, sovereign funds, land agencies and investors decide what to release, how and when: valued registers and portfolio screening, highest-and-best-use and market studies for individual buildings, feasibility and business models (DCF, IRR, NPV and Monte Carlo testing), tender design and benchmarking of the kind in this report.

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NOTES, SOURCES AND DEFINITIONS

Notes

Definitions

Second price: the costs to the state that follow a release, grouped in five lines: rent-back, holding, delivery, upside and proceeds. **Realisation ratio:** annual disposal receipts as a share of estate value. **Holding clock:** years from vacancy to release. **Delivery clock:** years from release to reopening. **Release:** a sale, lease, land grant, concession, transfer to a fund or decision to retain and convert. **Leaseback:** a sale in which the seller remains the occupier as tenant. **Overage:** a share of later gains reserved to the seller. **BUA:** built-up area. **GFA:** gross floor area. **TSFE:** The Sovereign Fund of Egypt. **SPGA:** State Properties General Authority (Saudi Arabia).

Method

Figures are as published by the sources listed, in the currency and period stated, and have not been converted or adjusted for inflation, except for the approximate dollar equivalent of the Hellinikon price in Exhibit 20. The Heirstone Release Register records 23 named releases with published prices, terms or dates; it is not a random sample. Years in Exhibit 7 are approximate to the quarter. Derived figures (ratios, multiples, per-unit values, cumulative rent) are labelled Heirstone analysis and use only the published inputs shown. Leaseback rent projections assume rent equals the reported yield times the price. Where sources conflict we give both figures or the more conservative one. Single press reports are attributed in the text. The route scores in Exhibit 16 are Heirstone judgements.

Where sources differ

Mogamma: about 500 rooms (Ahram Online, 2025) against 450 in earlier reports; we use the later figure. Lazoghly: 7 buildings and 39,895 m2 (TSFE, 2023) against 10 buildings and 41,950 m2 (TSFE sub-fund page); both are shown. NDP site: 16,612 m2 (TSFE) against about 16,500 m2 (press); we use TSFE. Moroccan university hospitals, 2019: MAD 4.6bn (Challenge.ma) against MAD 5bn (FNH); both are shown. Ras El Hekma: 170.8 million m2 (Modon, 2026) and over 170 million m2 (ADQ, 2024) against about 130 million m2 (The National, 2024); both resulting prices per m2 are shown. Moroccan receipts for 2019-20 are budgeted figures (Medias24).

Use of this report

This report is published for general information and draws only on public sources. It is not investment, legal or valuation advice and should not be relied on as such. References to governments, funds and companies describe published facts and are not assessments of any party. © Heirstone Consulting L.L.C-FZ, 2026. Images are illustrative.

1 HOLDING IS THE DEFAULT

IMF, Fiscal Monitor (October 2018); Detter and Fölster, IMF Finance & Development (March 2018); Cabinet Office, State of the Estate 2023-24 and Government Estate Annual Data Publication 2024-25; Rijksvastgoedbedrijf, Financieel jaarverslag 2023; Sénat, L'essentiel PPL 2025-319 (June 2026); Fondation iFRAP (2026); Deutscher Bundestag (Drucksache 19/27166, 2021; hib 215/2023); US Senate HSGAC (June 2023); US GAO (GAO-23-106200, July 2023; GAO-26-108451, September 2026); Public Buildings Reform Board (March 2024).

2 SOLD, THEN RENTED BACK

National Audit Office, The MoD's arrangement with Annington (January 2018) and Repurchase of service family accommodation (June 2026); Government Estate Annual Data Publication 2024-25; CoStar via Brookland (May 2014); Delancey; GOV.UK (March 2016); Medias24; Challenge.ma; Argaam (Taleem REIT, June 2020).

3 THE RELEASE CLOCK

GOV.UK, MOD completes sale of Old War Office (March 2016); HKSAR Government (November 2013); Growthfund/HRADF (2021, 2023); Bisnow (March 2021); Qatari Diar; Chelsea Barracks Partnership; CityAM (September 2019); The Caterer (2022); Hospitality Net (February 2025); AP-HP (February 2025); Centre des monuments nationaux; Batiweb (September 2008); Grün Berlin; National Park Service; Bureau of Land Management; GSA Office of Inspector General (January 2019); National Library Board Singapore; SCMP (2017, 2018); Arup (June 2018); Pacific Rim Construction (November 2009); Development Bureau, Hong Kong; TSFE; Ahram Online (February 2025); Daily News Egypt (December 2025).

4 TERMS THAT TRAVEL WITH THE TITLE

National Audit Office (July 2016; May 2019, HC 2138); Civil Service World (June 2015); Land Development Agency (2025); Banque des Territoires (2017, 2018); VDIV (March 2024); Turismo de Portugal, Programa REVIVE; Idealista PT (2016, 2023); Agenzia del Demanio (May 2017); Ediltecnico (2023, updated 2024); Commissioner for Heritage's Office, Hong Kong; Paradores (2014); raffles.com (2026).

5 VEHICLES BUILT TO WAIT

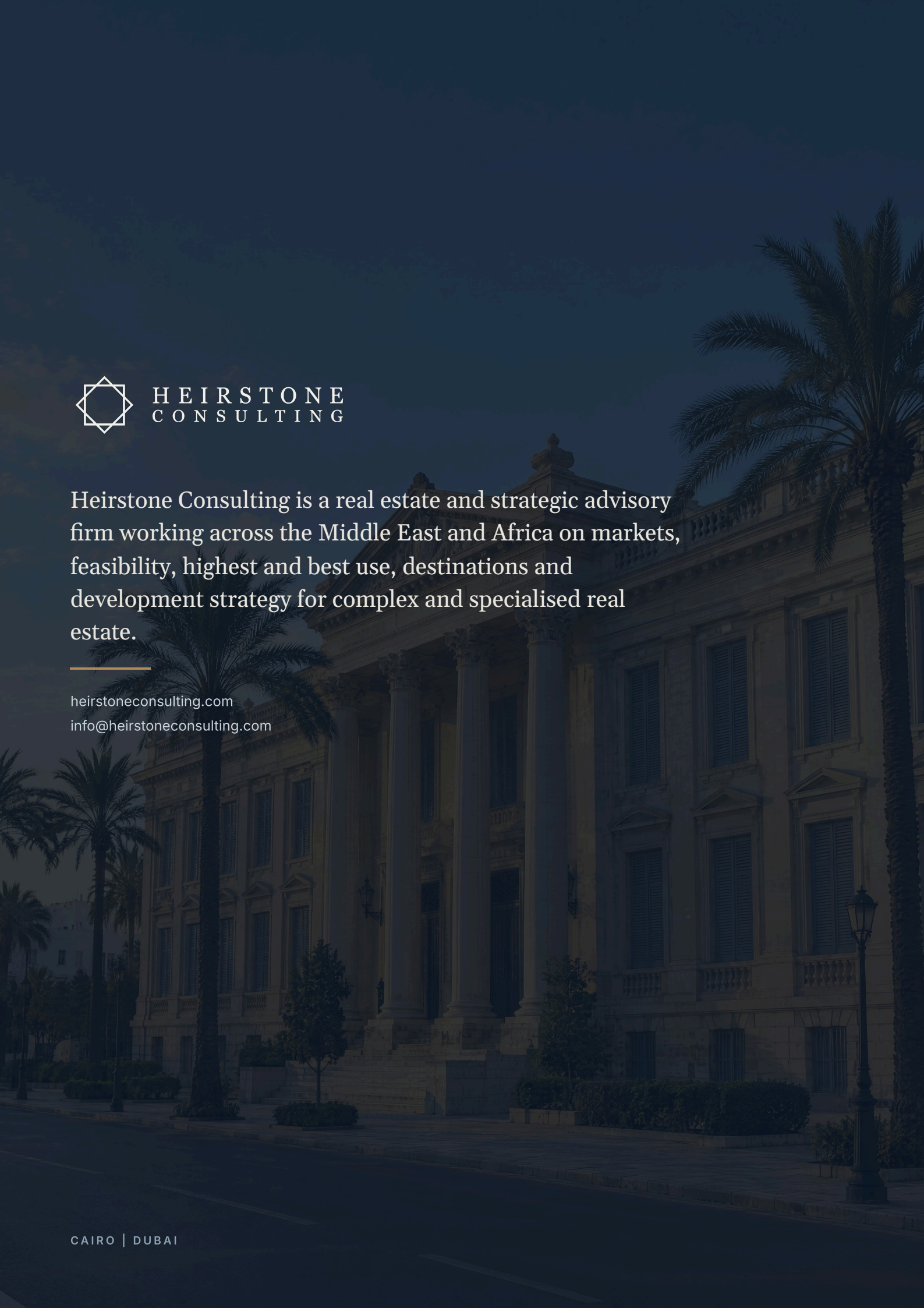
HafenCity Hamburg GmbH; City of Copenhagen, Økonomiudvalget (17 June 2025); Lex.dk; MTR Corporation, 2024 Annual Results and Annual Report; LegCo Research Office (ISSF03/2024); HKSAR Budget Speeches (2025-26, 2026-27); Development Bureau (February 2026); Singapore Ministry of Finance; SLA; URA; Business Today (June 2026); Canada Lands Company, Annual Report 2024-25; Vasakronan.

6 THE HEIRSTONE SECOND PRICE TEST

Heirstone analysis of the sources listed for Chapters 1 to 5 and the Heirstone Release Register 2026.

7 EGYPT, SAUDI ARABIA, THE UAE AND MOROCCO

Law 177 of 2018 and Law 197 of 2020; ADQ (February 2024); Modon Holding, ADX disclosure (May 2026); Growthfund/HRADF; TSFE; Cairo Governorate (July 2023); Invest-Gate (August 2023); Enterprise (2020-2025); CairoScene (January 2024); Amwal Al Ghad (2020); Al Manassa (2025); World Construction Network (December 2021); Saudipedia; Argaam (February 2022); Ajel (December 2020); Amlak (2021-2025); Medias24; FNH; Boursenews (June 2024); Bladi.net; The National (February 2010); MEED (January 2011); Gulf News; Arabian Business; Dubai Media Office (May 2025); OMRAN Group; Oman Investment Authority; The National (February 2024). Map: Natural Earth.



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Heirstone Consulting is a real estate and strategic advisory firm working across the Middle East and Africa on markets, feasibility, highest and best use, destinations and development strategy for complex and specialised real estate.

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